

CHAPTER FOUR

4. THE ORGANIZING FUNCTION

4.1. Concept of organizing and organization

Organizing is one of the key functions of management. It is explained in this unit in terms of its three elements: departmentalization, span of management and delegation. The discussion that deals with delegation focuses on centralization and decentralization as well. Since organizing implies arranging people, group dynamics and committees are also taken care of in this unit.

Organizing is establishing the internal organizational structure of the business. The focus is on division, coordination, and control of tasks and the flow of information within the organization. Managers distribute responsibility and authority to job holders in this function of management.

As stated by Harold Koontz and O'Donnell "Organizing involves the establishment of an intentional structure of roles through determination and enumeration of the activities required to achieve the goals of an enterprise and each part of it; the grouping of these activities, the assignment of such groups of activities to the manager, the delegation of authority and informational relationship horizontally and vertically in the organization structure" are important aspects of the organizing function.

As we can see from the above definition and many other definitions given by other authors, organizing is a process and it involves the following activities.

- ✓ Identification of key activities necessary to achieve objectives
- ✓ Grouping of these activities in a manageable manner
- ✓ Assignment of each group of activities to a manager who has the authority and responsibility to manage
- ✓ Delegation of authority to managers so as to accomplish their duties efficiently
- ✓ Coordination of different groups of activities horizontally or vertically.

It is also possible to see that *organizing is a process of creating a coherent whole (organization), whereas organization is any human association created to achieve some common objectives of members of the group.* In other words, *organizing is the process and organization is a social grouping.*

4.2. Types of Organization

Organizations can be classified on the basis of legality authority delegated and responsibility assigned to the personnel and their relationship with each other. On the basis of this, an organization can be either formal or informal.

4.2.1. Formal Organization

It is the intentional structure of roles in a formally and legally organized enterprise. It is flexible enough in structure as to furnish an environment in which individual performance, both present and future, contributes most effectively to group goals; it allows for discretion, for taking advantage of creative talents and for recognition of individual likes and capacities in the most formal organizations. The establishment of effective formal organization must be based on the principles that pertain to the unity of objectives and organizational efficiency. Developing a responsive organizational structure committed to quality is another important task in the establishment of formal organization.

Organizational structure is the framework of jobs and departments that directs the behavior of individuals and groups toward achieving the objectives of the organization (Ivancevich et al., 1014, p. 254).

❖ **Characteristics of Formal Organization**

- It is properly planned.
- It is based on delegated authority.
- It is deliberately impersonal.
- The responsibility and accountability at all levels of organization are clearly defined.
- Unity of command is normally maintained.
- It provides for division of labor.

❖ **Advantages of Formal Organization**

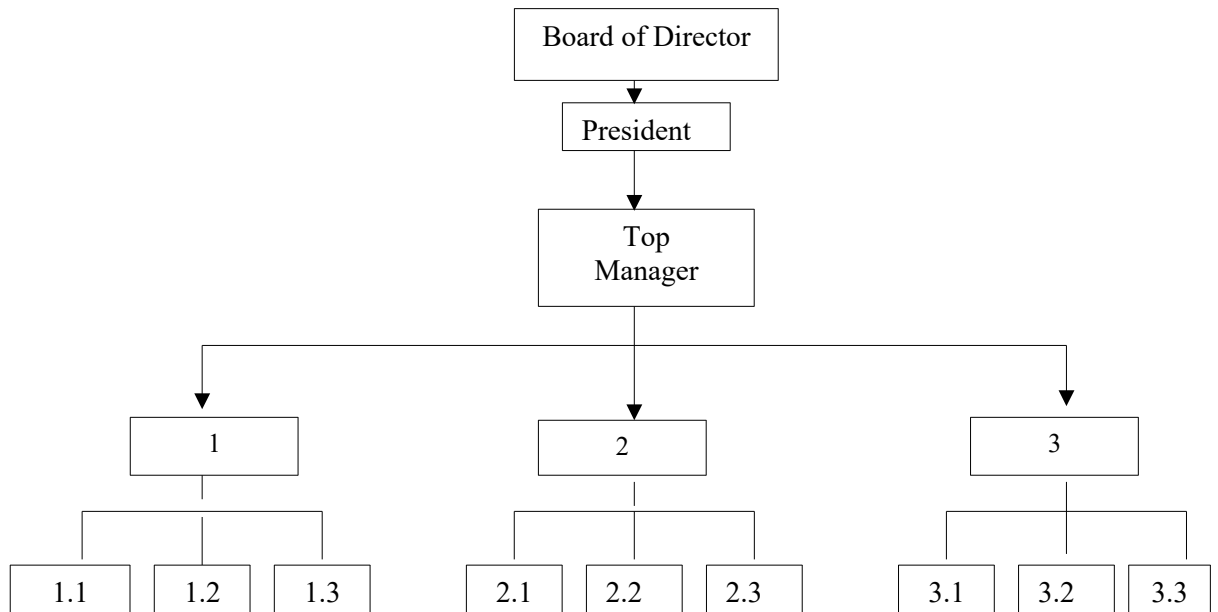
- The definite boundaries of each worker are clearly fixed and this avoids conflict among the workers.
- Overlapping of responsibility is easily avoided.
- Shifting responsibility is very difficult.
- A sense of security arises from classification of the task
- There is no chance for favoritism in evaluation and placement of the employee.
- It makes the organization less dependent on one man.

❖ **Disadvantages of Formal Organization**

- In certain cases, the formal organization may reduce the initiative of employees.
- Sometimes authority is used for the sake of convenience of the employee without considering the need for using the authority.
- It does not consider the sentiments and values of the employees in the social organization.
- It may reduce the speed of information communication.

❖ ***The following arrangements or organizational structures are commonly used in most firms and enterprises.***

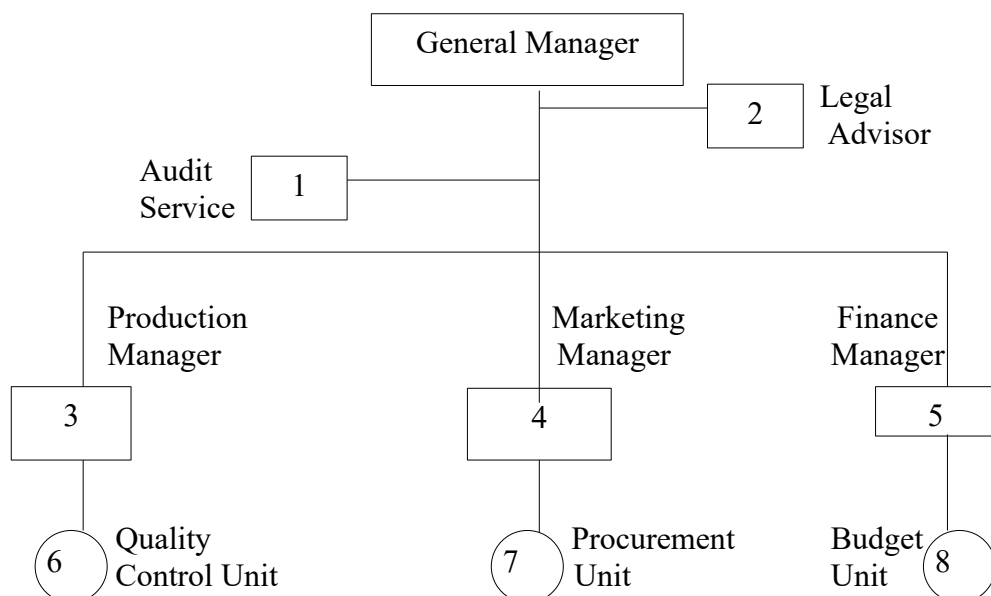
- a. **Pure Line Organization Structure:** *It is an arrangement in which all authority flows in a direct and vertical line from the board of directors to the president, to the manager of key line functions, to subordinate managers and down to operative personnel. Each individual reports to only one other person.* The following chart shows the structure of pure line organization.



- b. Line-and-Staff Organization Structure:** It is a form of organization that applies mainly to complex enterprises where handling all the activities becomes difficult for line managers.

This requires the assignment of some specialized staff to advise line managers on certain issues. It means, in this case, it becomes necessary to organize both line and staff personnel.

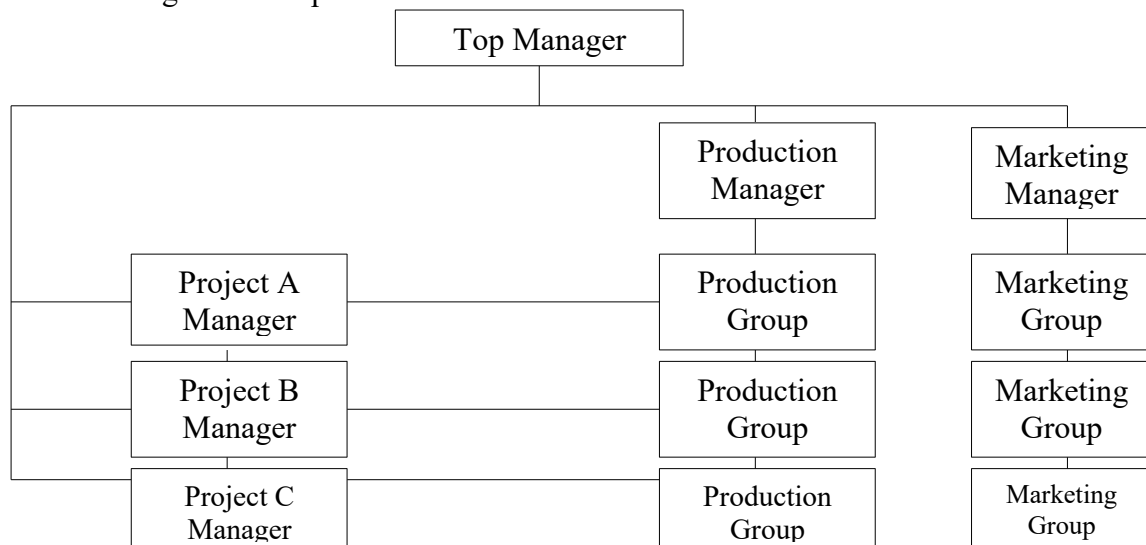
Staff personnel cannot command or issue orders, but act in a strictly advisory capacity, because of their technical and professional skills in areas such as law, accounting, auditing, data processing, advertising or publicity, engineering, etc. The following chart shows the structure of line-and-staff organization.



- c. Matrix organization Structure:** *It is a form of organization in which some manager's report to two bosses rather than to the traditional single boss as in the case of pure line or line-and-staff organization.*

Every matrix contains three unique and critical roles:

- The top manager-heads and balances the dual chains of command;
- The matrix bosses or functional production managers who share subordinates;
- The managers who report to two different matrix bosses



The chart above shows that the production manager is in charge of three groups of subordinates, each of which is also assigned to either project A, B, or C. Therefore, the groups of subordinates report to both their functional manager and to their project managers. In turn, the functional managers and the project managers report to the top manager, who oversees the organization.

❖ **Matrix Organization is used:**

- When it is absolutely necessary that the groups be highly responsive to two sectors at the same time, such as markets and technology;
- When the bosses face uncertainties that generate very high information processing requirements;
- When they must deal with strong financial and/ or human resources.

❖ **The following are some of the common disadvantages of matrix organization.**

- It violates the unity of- command principle because the subordinates are accountable to two managers.
- It may lead to power struggles. One manager may compete with another manager for the services of a joint subordinate.

This weakness can be minimized if senior managers stress that harmony and cooperation are absolutely essential.

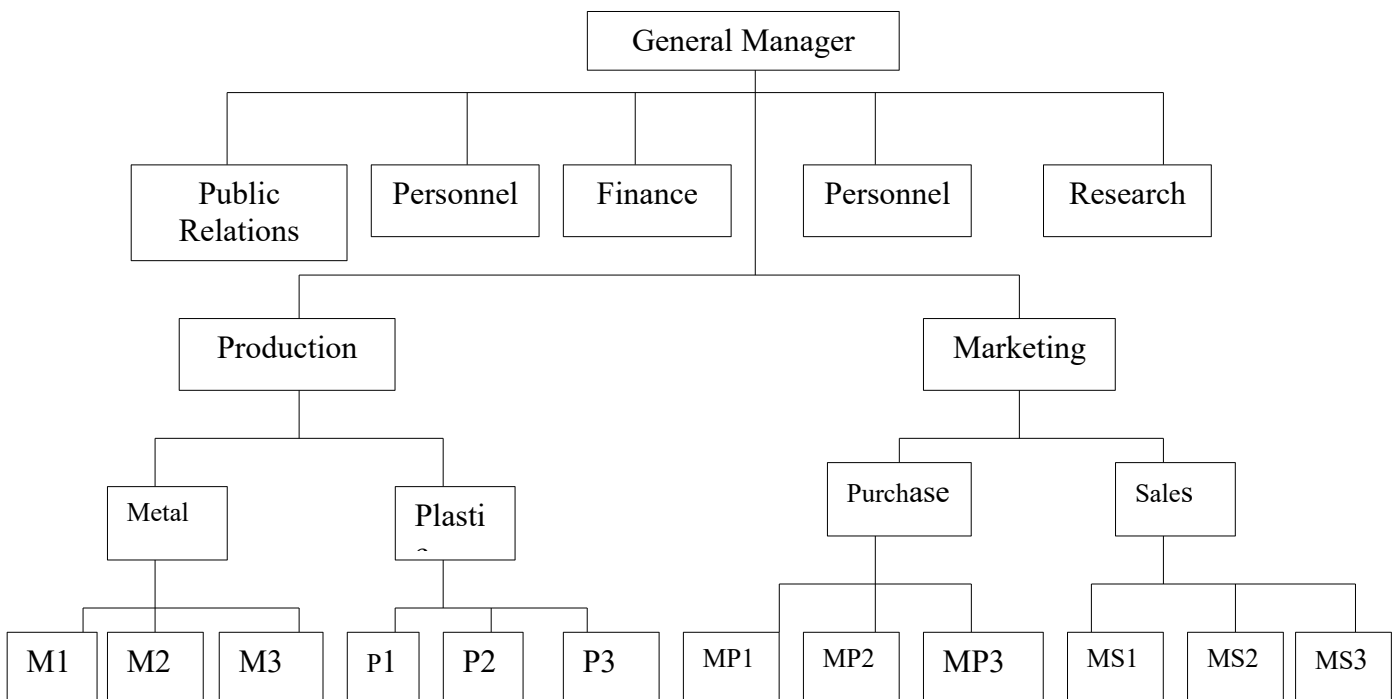
d. The Functional Organization Structure: *This is a structure that is most widely used because of its simple logical and common since appeal.* It is the module from which other forms are built. In its simple form, the functional structure consists of the three major areas of business: production, marketing and finance.

This organizational structure is characterized by the following features:

- Specialization by function: This structure orients employees toward a special activity, and helps them to concentrate competence in particular ways.

- Sub-goal emphasis: This structure forces departmental heads to concentrate on sub-unit goals to meet the standards and achieve the targets.
- Pyramidal growth: Added positions and departments are made part of the existing functional structure. Each function grows by adding layers to be the base of the pyramid. The span of supervision and the number of levels reporting to each manager within the functional pyramid are the results of the growth of each function.
- Line-and-Staff division: The distinction between line and staff activities is observed in all functional structures. In fact, functional organization is a modified form of line-and-staff structure. Line functions have direct responsibility for achieving the basic purpose of the organization. They command while the staff gives support and advice.
- Functional relationship: When the need arises some managers are made to supervise multiple departments. Departmentalization can take place with all the three types of authority: line, staff and functional authority. Functional authority is subordinate to line authority and is a way of relating specialists to work in the organization. Functional specialists have a limited scope of command authority.
- Centralization and decentralization: In a functional organizational structure one person heads all of one kind of work. Authority is centralized to a great extent. As a result, coordination within function is simplified.
- Span of control: In functional structures, the span of management is limited. So there is a tendency for these structures to be tall. Managers exercise close supervision and rely on impersonal rules and procedures to manage individuals in organization.

The following figure shows functional organization structure.



4.2.2. Informal Organization

It is a network of personal and social relations not established or required by the formal organization, but arising spontaneously as people associate with one another on the basis of

the likes and dislikes of members without considering the rules, regulations and procedures of the organization. The relationship does not appear on an organization chart.

Informal organizations are influenced by the number of people in the group, the actual personnel involved what the group is concerned with its changing leadership and the continuing process of change.

❖ **Characteristics of Informal Organization**

- It arises without any external causes, i.e. voluntarily.
- It is a social structure formed to meet personal needs.
- It has no place in the organization chart.
- It acts as an agency of social control.
- It can be found on all levels of organization within the managerial hierarchy.
- Its rules and traditions are not written but are commonly followed.
- It develops from habits, conduct, customs and behavior of social groups.
- It is one of the parts of the total organization.
- There is no structure and definiteness to the informal organization.

❖ **Advantages of Informal Organization**

The advantages of informal organization are:

- It fills up the gaps and deficiency of the formal organization.
- It gives satisfaction to the workers and maintains the stability of work
- It is a useful channel of communication.
- Its presence encourages the executives to plan to work correctly and act accordingly.
- It also fills up the gaps among the abilities of the managers.

❖ **Disadvantages of Informal Organization**

The disadvantages of informal organization are:

- It has the nature of upsetting the morality of the workers.
- It indirectly reduces the efforts of management to promote greater productivity.
- It spreads rumors among the workers regarding the functioning of the organization unnecessarily.

4.3. Importance of Organizing

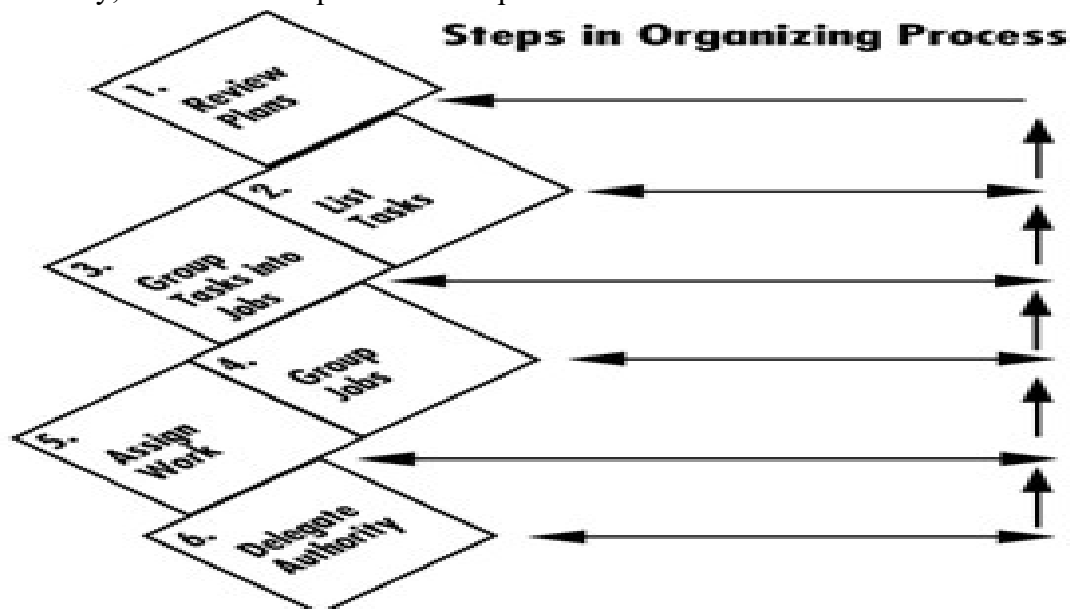
Organizing creates the relationship between top-level executives and lower level staff members. The following are achieved through the process of organizing.

- ✓ **Facilitate administration:** -Duplication of work, wrong planning, inefficient personnel, lack of motivation, improper allocation of duties and responsibilities, absence of coordination, communication gap, and improper instructions are the ingredients of ineffective administration. This ineffective administration can be removed by having a sound organization.
- ✓ **Facilitates growth and diversification:** -The growth of business means an increase in the scale of operation; diversification means starting of production of a new type of product. For both growth and diversification, organization identifies the necessary activities, raises the necessary resources and determines how and when to use it.
- ✓ **Increases the efficiency of management:** -Under good organization, there is division of work and specialization, which are the tools:
 - For optimum utilization of workers' ability, resources, materials, technology, etc

- For placing proportionate importance on the various activities of the enterprise.
 - For avoiding confusion, delay and duplication of work through dividing and regrouping of activities into a manageable whole.
- ✓ **Encourage creativity and initiative:** A sound organizational structure will give an opportunity for the staff to show their hidden talents, which will help the enterprise to achieve the business goals and earn higher profits. It provides opportunities for training new staff members and give refresher courses to existing employees.
- ✓ **Establishes lines of authority /-vertical division of labor/:** As it is already stated, organization is the arrangement of position of executives by adopting rank system. This represents who in the organization reports to whom and who has authority over whom.
- Improves communication:** A good organization structure clearly defines channels of communication among the members of the organization. This develops transparency among members and improves flow of information.

4.4. Process of Organizing

A key issue in accomplishing the goals identified in the planning process is structuring the work of the organization. Organizations are groups of people, with ideas and resources, working toward common goals. The purpose of the organizing function is to make the best use of the organization's resources to achieve organizational goals. Organizational structure is the formal decision-making framework by which job tasks are divided, grouped, and coordinated. Formalization is an important aspect of structure. It is the extent to which the units of the organization are explicitly defined and its policies, procedures, and goals are clearly stated. It is the official organizational structure conceived and built by top management. The formal organization can be seen and represented in chart form. An organization chart displays the organizational structure and shows job titles, lines of authority, and relationships between departments.



4.5. Key Elements of Organizing

The four basic elements of organizing are:

4.5.1. Departmentaiztion

Departmentation is a process by which similar activities of a business are grouped into units for the purpose of facilitating smooth administration at all levels. It is one of the key concepts of organizing.

"Departmentation is a process of dividing the large monolithic functional organization into small and flexible administrative units" (Koontz & O'Donnell).

❖ **Factors Considered in Departmentation**

The following factors are to be taken into consideration in departmentation.

- a. **Specification:** Departmentation is concerned with identifying and specifying organizational activities as coherent whole. Departmentation should yield the advantages of specialization. Specialization may be functional such as sales, finance, production and personnel.
- b. **Control:** As a general rule, there should be scope for automatically checking the activity of one person by another person. There should be a proper control under departmentation and simplification of control process.
- c. **Co-ordination:** The whole business activities are grouped department wise and it requires co-ordination in order to direct organizational activities in the same direction. One department should be organized so that it can support the other department and vice-versa. No department is independent but is interdependent with other departments of the same organization.
- d. **Securing Attention:** Sometimes, certain functions emerge within a unit that desires a special treatment. Hence, the activity may be entrusted to a separate division or a higher level of organization according to its importance. Even an unusually important activity of the business could be given a recognition in the organization.
- e. **Recognition of Local Conditions:** The departmentation should take into consideration the local conditions of the place concerned. Local conditions may include such factors as the area dispersion, diversity of customer's needs, types of product and availability of specialized man power.
- f. **Economy:** The departmental arrangement will be effective if the departmentation is done with minimum expenses. Cost of departmentation should not exceed benefits generated from departmentation.

❖ **Bases or Patterns or Types of Departmentation**

There are certain basic methods of dividing the duties and responsibilities within an organization structure. They are:

- a. **Departmentation by Enterprise Function:** Functional departmentation is perhaps the most logical and basic form of departmentalization. It is a form of departmentalization in which everyone engaged in one functional activity, such as marketing or finance, is grouped into one unit. It works best when the organizational environment is stable and tight control over processes and operations is desired.

It is used mainly (but not only) by smaller firms that offer a limited line of products, because:

- It makes efficient use of specialized resources;
- It makes supervision easier;
- It makes it easier to mobilize specialized skills, and bring them to bear where they are most needed.

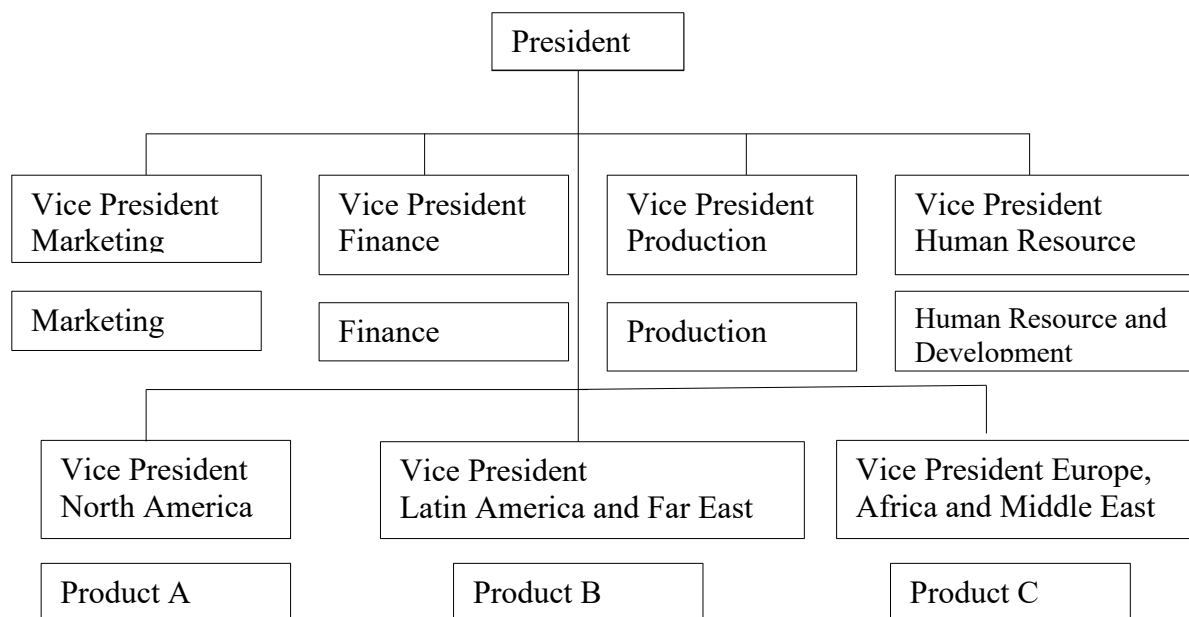
- b. Departmentation by Product or Service:** This type of departmentation comes as a result of organizing a company by divisions that bring together all those involved with a certain type of product or service. This type of departmentation is made by the large multi-product companies. Each department is responsible for a product or related family /product line/.

It is a logical pattern to follow when a product type calls for manufacturing technology and marketing methods that differ greatly from those used in the rest of the organization.

- c. Departmentation by Region or Area or Territory (Geographical):** This brings together in one department all activities performed in the region where the unit conducts its business. This arrangement follows logical pattern when a plant must be located as close as possible to:

- Its sources of raw materials - mining and oil producing companies;
- Its major markets;
- Its major sources of specialized labor.

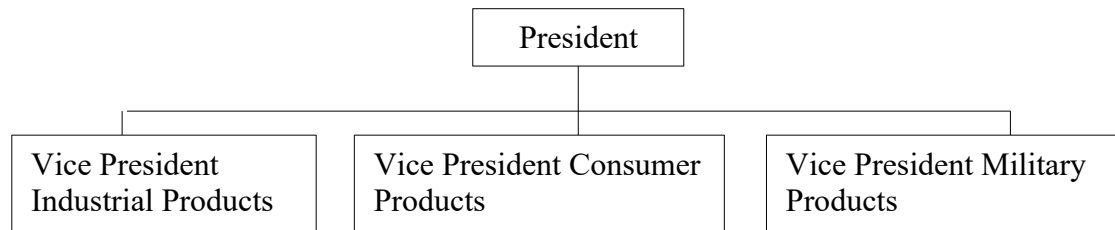
Territorial departmentation is especially attractive to large-scale firms or other enterprises whose activities are physically or geographically dispersed and its customers' needs and characteristics vary greatly.



- d. Departmentation by Customers:** It occurs when a division sells most or all of its products to a particular class of customers. This type of departmentation is preferred when the various needs of customers are different in nature. For example a bank may divide its loan section into a number of heads and assign them to various departments.

- Loan to businessmen
- Loan to farmers
- Loan to professionals, and so on.

The chart below shows an organizational structure of departmentation by customers.



e. Departmentation by Process or Equipment: In this kind of departmentation, people and materials are brought together in order to carry out a particular operation. This type of departmentation is followed when the production activities are carried on in many places.

For example, a textile factory may have many departments such as ginning, spinning, weaving, dyeing and printing, packing and sales distribution. Textile, sugar, beverage and many other factories also follow these kind of departmentation.

f. Departmentation by Time: Business activities can grouped together on the basis of the time of performance. If the work is not completed within the normal working hours, extra time will be given to complete after the normal working hours. Whatever may be the work performed after the normal working hours, a separate department will be in charge of this type of activity.

For example: University extension programs have their coordinator. Hospitals, fire departments, steel furnaces etc. use same methods.

g. Departmentation by Numbers: It was once an important method in the organization of tribes, clans and armies. The essential fact is not what these people do, where they work or what they work with, but that the success of the undertaking depends only upon the number of people involved in it. Its usefulness has declined with each passing century. Because:

- Technology has advanced, demanding more specialized and different skills;
- Groups composed of specialized personnel are frequently more efficient than those based on mere number;
- It is useful only at the lowest level of the organization structure.

h. Departmentation by Marketing Channels: This type of departmentation is adopted on the basis of the channel of distribution chosen by the particular business unit. Normally the channel of distribution is selected by the business unit on the basis of nature of goods and marketability of the product.

4.5.2. Span of Management

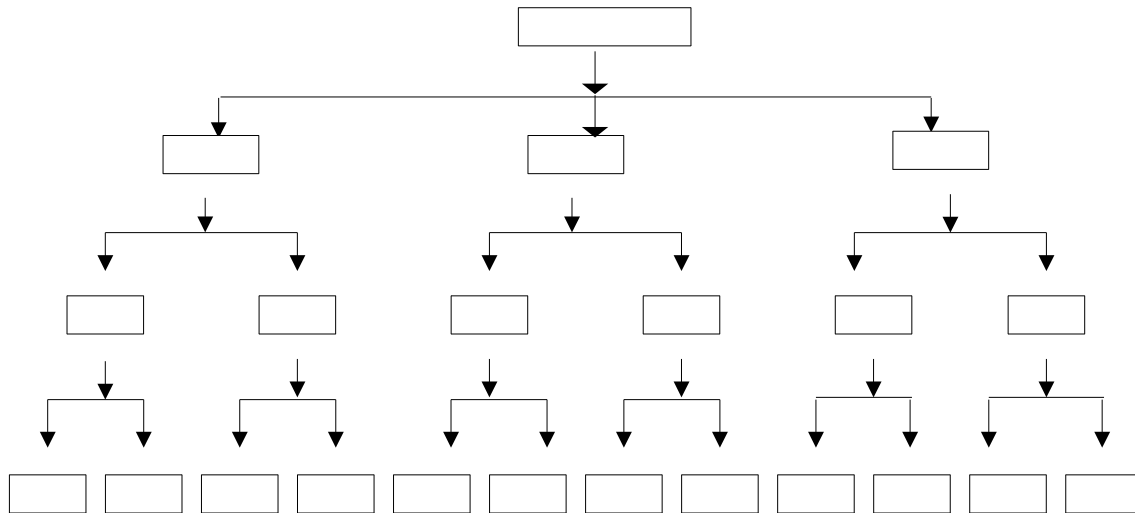
Span of management is the number of subordinates who report directly to a given manager or the number of people managed efficiently by a single officer in an organization. Span of management may be narrow or wide. The alternative names for span of management are span of control, span of supervision, span of authority and span of responsibility.

❖ ***A narrow span of supervision has the following characteristics:***

A narrow span of control is where the number of subordinates under a given supervisor are very few.

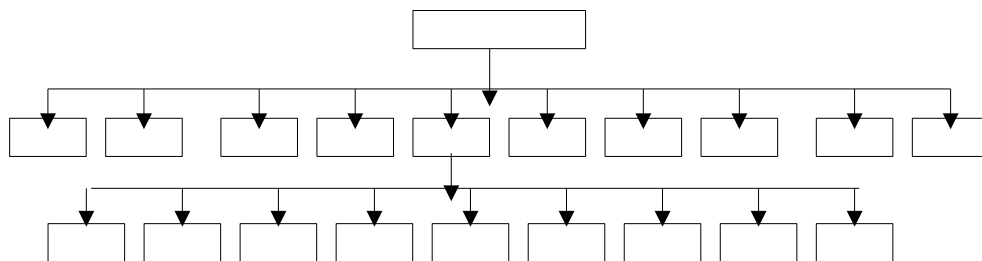
- The organizational structure is tall, i.e., there is a long distance between top level management and supervisors.
- There are many managerial levels between top and lower level management.

- ❖ *The following chart shows an organizational structure with a narrow span of control.*



A wide span of control is an arrangement where the number of subordinates under a given supervisor are many. A wide span has the following characteristics

- ❖ *The following chart shows an organizational structure with a wide span of control.*



- Too close supervision by superior
- Dependent because of very close and frequent supervision.

No formula exists for determining the ideal span of control. The ideal number of people that one person can supervise depends on a variety of factors. The following are some of the factors which influence the span of management.

- ✓ **Subordinate Training or Quality of Subordinates:** The better the training of subordinates, the less the impact of necessary superior-subordinate relationships. Well-

trained subordinates require not only less of their manager's time but also fewer contacts with them.

- ✓ **Clarity of Delegation of Authority:** As managers delegate their authority, they have to clearly define the delegation. To undertake a well-defined task, a well-trained subordinate can get it done with a minimum of the superiors' time and attention.
- ✓ **Clarity of Plans:** If plans are well defined, workable, if the authority to undertake them has been delegated, and if the subordinate understands what is expected, little of a supervisor's time will be required.
- ✓ **Use of Objective Standards:** Good objective standards:
 - Reveal with ease any deviations from plans.
 - Enable managers to avoid many time-consuming contacts.
 - Enable managers to direct attention to exceptions at points.
 - Enable the successful execution of plans.
- ✓ **Rate of Change:** The rate of change is an important determinant of the degree to which policies can be formulated and the stability of policies maintained
 - Rapid rate of change/ Narrow span of management
 - Stable and durable/ Wider span of management
- ✓ **Variety of Tasks:** This refers to the number of different types of jobs being managed. The greater the variety of jobs supervised by a manager, the higher time it requires. As the number of subordinates increases the contact required will be more.
- ✓ **Proximity:** Physical dispersion of jobs being managed affects span of management. If organizational activities are geographically dispersed, subordinates performance will be out of their supervisor's sight. Besides, as the number of subordinates increases the problem becomes more.
- ✓ **Communication Techniques:** Methods of communication may be divided into two, i.e. oral and written. Oral communication requires more time and energy and these can be avoided by the written communication. Clear and concise communication increases span of control. Easy style of leaders may create wide span if it is properly handled.
- ✓ **Complexity of Jobs:** Complexity of jobs refers to the scope and depth of jobs. Job scope is the number of different types of operations performed in the job. Job depth is the freedom of employees to plan and organize their work to work at their own pace and to move around and communicate as desired.
- ✓ **Quality of a Manager:** A competent and trained manager can effectively supervise more than one subordinate that do not have specialization. Other factors include the amount of personal contact needed or the degree of interaction required, the utilization of technology, non-managerial responsibilities of the manager, and the size of personnel that exist at the different management levels of organization.

4.5.3. Delegation of Authority

It is the act of entrusting formal authority and assigning responsibility to a subordinate for completion of specific activities. Just as no one person in an enterprise can do all the tasks necessary for accomplishing a group purpose, it is also impossible, for one person to exercise all the authority for making decisions as the enterprise grows.

❖ The Steps Followed in the Delegation process

The delegation of authority involves the following key activities

- Analyze how time is spent.
- Decide which task can be delegated and the expected results. Authority and tasks delegated must be clearly stated, and should be modified when necessary for accomplishing these tasks.
- Decide who should get the assignment. The right person should be selected from members based on merit or effective performance of job.
- Delegate the authority. Assign the task with the right authority to the right person.
- Create an obligation (responsibility)
- Establish a feedback system
- Follow unity-of-command and chain-of-command principles as you delegate.

❖ **Factors That Determine the Delegation of Authority**

Most of the factors that affect delegation lie in the personal attitudes of both superiors and subordinates towards delegation. Some of them are discussed as follows.

Personal Attitudes of Superiors: it focus:

- Receptiveness/ Avoidance of Risk
- Willingness To Let Decision Making Authority Go
- Perfectionism/Unwillingness To let Others Make Mistakes
- Willingness To Trust Subordinates/ Confidence in Subordinates

Attitudes of Subordinates: Subordinates may refuse accepting delegation of authority because of any of the following reasons.

- Love of spoon-feeding. They want superiors to do the job or show them how to do it.
- Fear of criticism.
- Lack of information or resource.
- Lack of self-confidence.
- Too much workload.
- Inadequate incentives.
- Fear of failure.

❖ **Principles of Delegation**

- ***Delegation has to be based on results expected:*** The superior should clearly know what he expects from the subordinate before the delegation authority.
- ***Non-delegation of responsibility:*** A superior can delegate authority but not responsibility. Assigning duties does not relieve the delegator from being accountable for whatever happens in the process of carrying out the responsibilities assigned.
- ***Authority and responsibility should commensurate with each other:*** The parity principle states that authority and responsibility must balance each other. Authority without responsibility will make the subordinate a careless person. Responsibility without authority will make the subordinate an inefficient person. So there should be a proper balance between authority and responsibility.
- ***Unity of command:*** An employee should have one and only one immediate manager. Jesus said “No man can serve two masters.” If a subordinate gets orders, instructions and directions from more than one superior, it will create uncertainty and confusion in

the organization. In such a situation, the subordinate will find it very difficult to determine whose instructions, orders or directory he should carry out first.

- **Definition of limitations of authority:** The authority delegated should be well defined so that the subordinate can understand the limit of the authority delegated to him.
- **The scalar principle/chain of command:** This principle suggests that there must be a clear line of authority running step by step from the highest to the lowest level of the organization. This clear line of authority will make it easier for organization members to understand to whom they are responsible. This principle also makes communication channels clear.

4.5.4. Centralization versus Decentralization as Features of Delegation

Centralization and decentralization are important features that become obvious in the process of delegation. This is due to the fact that authority is decentralized or centralized in the process of delegation.

- a. Centralization is defined as the systematic and conscious reservation of authority at central points in the organization. In a centralized set-up, decision-making authority is concentrated in few hands at the top. Most of the time even though the degree might be high or low, both centralization and decentralization can appear and exist in an organization.
 - b. Decentralization implies the placing of greater power in the hands of persons away from the center. It means a greater number of important decisions are made at the lower levels and few of these decisions are subject to prior approval of the higher authorities. So decentralization can be defined as the systematic effort to delegate to the lowest levels all authority except that which can be exercised at central points. In other words, there cannot be absolute decentralization. If managers delegate all authority without exception, their status as managers would cease, their position would be eliminated, and there would again be no organization.
- ✓ *The degree of decentralization is greater when:*
- the number of decisions made at lower levels of the organization are greater;
 - the decisions made at lower levels of an organization are more important;
 - more functions are affected by decisions made at lower levels of the organization;
 - the manager has less checking on decisions made by others;
 - there is no checking on decisions made by others; and
 - Fewer people at the lower level in the hierarchy are consulted.

❖ **Factors Determining the Degree of Decentralization of Authority**

Although the temperament of individual managers influences the extent to which authority is delegated, other factors also affect it. They are:

- ✓ **Costliness of the Decision:** The more costly the action to be taken the more probable it is that the decision will be made at the upper levels of management. Costs may be in dollars and Cents Company's reputation, its competitive position and employee morale.
- ✓ **Desire for Uniformity of Policy:** Those who value consistency above all invariably go for centralized authority since this is the easiest road to such a goal.

- ✓ **Size and Character of the Organization:** The larger the organization, the more the decisions that are to be made, the more the places in which they must be made and the more difficult it is to coordinate them.
- ✓ **History and Culture of the Enterprise:** Whether authority will be decentralized frequently depends upon the way the business has been built. Owner founders have a tendency toward high centralization of authority. Enterprises that result from mergers and consolidations are likely to show, at least at first, a definite tendency to retain decentralized authority, especially if the unit acquired is already operating profitably.
- ✓ **Management Philosophy:** Sometimes top managers are not interested to delegate to others and they want to safeguard their authority as a source of power. In many cases, top managers may see decentralization as a way of organizational life that takes advantage of the innate desire of people to create, to be free, and to have status.
- ✓ **Desire for Independence:** Individuals and groups often desire a degree of independence from bosses who are far away. Individuals may become frustrated by delay in getting decisions made by long line communication and by the practice of giving a difficult problem to someone else to solve it even though it is one's own responsibility.
- ✓ **Availability of Trained Managers:** A real shortage of managers would limit decentralization of authority, since delegation of authority requires qualified managers. Executives who complain that they have no one to whom they can delegate authority are often trying to magnify their own value to the firm or confessing a failure to develop subordinates.
- ✓ **Control Techniques:** A good manager at any level of the organization cannot delegate authority without having some way of knowing whether it will be used properly. Some managers do not know how to control. They may think that it takes more time to correct a mistake committed by others than to do the job themselves.
- ✓ **Decentralized Performance:** It refers to the situation where the managers of an enterprise are dispersed over a geographic area.
- ✓ **Business Dynamics: the Pace of Change:** If a business is growing fast and facing complex problems of expansion, its managers, particularly those responsible for top policy, may be forced to make a large share of the decisions; but strangely enough, this very dynamic condition may force these managers to delegate authority and take a calculated risk on the costs or error.
- ✓ **Environmental Influences:** In addition to the internal factors, there are definite external forces affecting the extent of decentralization. Among the most important of these are governmental controls, national unionism, and tax policies (political, social and economic factors).

4.6. Principles of Organizing

As a function of management, organizing operates on the basis of the following principles.

- ✓ **The Scalar or Chain-of Command Principle:** Authority flows directly and clearly from the top executive in an organization to each subordinate at each succeeding level. It implies that the best results are obtained when a clear chain of command is established and followed. If the principle is not followed in organizing, individuals will not know to whom they are responsible. Compulsion, indecision, and inefficiency will be the result.

- ✓ **The Unity-of-Objective Principle:** This principle suggests that all individuals in the organization and the departments to which they belong should contribute to the principal objectives of the organization. A football team, according to this principle aims at winning all matches. The members of the team work toward this objective individually and as a team.
- ✓ **The Adequacy-of Authority or the Parity Principle:** It means that each manager in the organization should be given sufficient authority to achieve the desired result. Authority and responsibility should be in parity with each other. This principle will be violated, if a manager is instructed to produce a certain amount of products, but not given the authority to request personnel, materials, finance, equipment, etc.
- ✓ **The Responsibility-for-Results Principle:** It states that even if a superior delegate's authority to a subordinate to achieve a goal, the superior is still responsible for the result if the goal is not attained.
- ✓ **The Accountability Principle:** It holds that when managers accept a plan from their superiors, they are duty bound to carry it out. In other words, they are accountable to their superiors for results. They are expected to put forth their best efforts to achieve the stated objective. In principle, while allocating duties to persons, the extent of liabilities of the person needs to be clearly explained to the concerned person.
- ✓ **The Division of Work Principle:** According to this principle, work would be divided and grouped in a logical manner in order to eliminate duplication of effort and other forms of waste. This principle will be violated when two people or two departments are performing work that could just as easily be done by one person or one department.
- ✓ **The Unity-of-Command Principle:** This principle states that each individual in an organization should report to only one superior and should receive the instruction or direction from one authority or boss. Failure to comply with this principle may result in confusion, fear and inefficiency.
- ✓ **Principle of Definition:** It is necessary to define and fix the duties, responsibilities and authority of each worker, and the organizational relationship of each worker with others.
- ✓ **Principle of Co-ordination /Unity of Direction/:** Whenever coordination exists among the workers, objectives may be achieved quickly and each work can be done effectively. The major plan is divided into sub-plans in a good organizational set up.
- ✓ **Principle of Efficiency:** According to this principle of an organization work should be completed with minimum members, in less time, with minimum resources and within the right time.
- ✓ **Principle of Uniformity and Balance (Equilibrium):** The organization should make the work distribution in such a manner that there should be an equal status and equal authority and powers among the same line officers. It is also essential that the sequence of work should be arranged scientifically.
- ✓ **Principle of Continuity and Flexibility:** It is essential that there should be a re-operation of objectives, re-adjustment of plans and privation of opportunities for the development of future management.
- ✓ **Principle of Leadership Facilitation:** Span of control refers to the maximum number of members effectively supervised by a single individual. The number of members may be

increased or decreased according to the nature of work done by the subordinate or the ability of the supervisor.

- ✓ **Principle of Simplicity and Homogeneity:** The simplicity of the organizational structure enables the staff members to maintain equality and homogeneity. If equality and homogeneity are maintained in one organization, it is possible to determine whether the staff members discharge their duties to realize the objectives of the organization.
- ✓ **Principle of Joint Decision:** Whenever decisions are made jointly, the deciding group would be more duty bound to keep its word individually or as a group. This would be beneficial to the organization for a long period of time.